MGT301 Principles of Marketing

Theme 10 [Topic # 119-134]

Topic #119

Promotion/Marketing Communication

What is promotion?

- ✓ Activity that supports or encourages a cause, venture, or aim.
- ✓ The publicizing of a product, organization, or venture so as to increase sales or public awareness.

Promotion refers to any type of marketing communication used to inform or persuade target audiences of the relative merits of a product, service, brand or issue.

Topic #120

What is Promotion?

The aim of **promotion** is to increase awareness, create interest, generate sales or create brand loyalty.

What is Promotion Mix?

The promotion mix is the specific blend of advertising, public relations, personal selling, and direct-marketing tools that the company uses to persuasively communicate customer value and build customer relationships.



Topic #121

Advertising

- ✓ Advertising is any paid form of nonpersonal presentation and promotion of ideas, goods, or services by an identified sponsor.
- ✓ Broadcast
- ✓ Print
- ✓ Online
- ✓ Mobile
- ✓ Outdoor

Topic #122

Sales promotion

- ✓ Sales promotion is a short-term incentive to encourage the purchase or sale of a product or service.
- ✓ Discounts
- ✓ Coupons
- ✓ Displays
- ✓ Demonstrations

Topic #123

Personal Selling

- ✓ Personal selling is the personal interaction by the firm's sales force for the purpose of engaging customers, making sales, and building customer relationships.

Topic #124

Public relations

- ✓ Public relations involve building good relations with the company's various publics by obtaining favorable publicity, building up a good corporate image, and handling or heading off unfavorable rumors, stories, and events.

Topic #125

Direct and Digital Marketing

- ✓ Direct and digital marketing involves engaging directly with carefully targeted individual consumers and customer communities to both obtain an immediate response and build lasting customer relationships.

Topic #126

Content Marketing

- ✓ Creating, inspiring, and sharing brand messages and conversations with and among consumers across a fluid mix of paid, owned, earned, and shared channels.

Topic #127

Integrated marketing communications

- ✓ IMC involves carefully integrating and coordinating the company's many communications channels to deliver a clear, consistent, and compelling message about the organization and its products.

Topic #128

Steps in Developing Effective Marketing Communication

- Identify the target audience
- Determine the communication objectives
- Design the message
- Choose the media
- Select the message source
- What will be said?
- How it will be said?
- When it will be said?
- Where it will be said?
- Who will say it?

Topic # 129

AIDA Model

- Get Attention
- Hold Interest
- Arouse Desire
- Obtain Action

Topic # 130

Message content is an appeal or theme that will produce the desired response:

- ✓ Rational appeal
- ✓ Emotional appeal
- ✓ Moral appeal

Rational appeal

relates to the audience's self-interest.

Emotional appeal

is an attempt to stir up positive or negative emotions to motivate a purchase.

Moral appeal

is directed at the audience's sense of what is right and proper.

Topic # 131

Media

- ✓ The main means of mass communication (broadcasting, publishing, and the Internet) regarded collectively.
- ✓ Plural form of medium.

The term media, which is the plural of medium, refers to the communication channels through which we disseminate news, music, movies, education, promotional messages and other data.

Types of Media

Personal such as

- ✓ Face to face
- ✓ Phone
- ✓ Mail
- ✓ E-mail
- ✓ Internet chat

Vs

Non-Personal such as

- ✓ TV
- ✓ Radio
- ✓ Magazine
- ✓ Billboard

Topic # 132

Setting the Total Promotion Budget

- ✓ Affordable budget method
- ✓ Percentage-of-sales method
- ✓ Objective-and-task method
- ✓ Competitive-parity method

Affordable Budget Method

- ✓ Affordable budget method sets the budget at an affordable level
- ✓ Ignores the effects of promotion on sales

Percentage-of-sales Method

- ✓ Percentage-of-sales method sets the budget at a certain percentage of current or forecasted sales or unit sales price
- ✓ Easy to use and helps management think about the relationship between promotion, selling price, and profit per unit
- ✓ Wrongly views sales as the cause rather than the result of promotion.

Objective-and-task Method

- ✓ Objective-and-task Method sets the budget based on what the firm wants to accomplish with promotion and includes:
- ✓ Defining promotion objectives
- ✓ Determining tasks to achieve the objectives

- ✓ Estimating costs

Competitive-parity Method

- ✓ Competitive-parity method sets the budget to match competitor outlays
- ✓ Represents industry standards
- ✓ Avoids promotion wars

Topic # 133

Promotion Mix Strategies

- ✓ Push Strategy
- ✓ Pull Strategy



Topic # 134

Final Words on Promotion

- ✓ Identify customer touch points
- ✓ Analyze trends—internal and external
- ✓ Audit the pockets of communication spending throughout the organization
- ✓ Team up in communications planning
- ✓ Create compatible themes, tones, and quality across all communications media
- ✓ Create performance measures that are shared by all communications elements
- ✓ Appoint a director responsible for the company's persuasive communications efforts

Socially Responsible Marketing Communication

- ✓ Communicate openly and honestly with consumers and resellers
- ✓ Avoid deceptive or false advertising
- ✓ Avoid bait-and-switch advertising
- ✓ Conform to all federal, state, and local regulations
- ✓ Follow rules of "fair competition"
- ✓ Do not offer bribes
- ✓ Do not attempt to obtain competitors' trade secrets
- ✓ Do not disparage competitors or their products